

Income & Expenses: Family Budget Story

Learning How Families Earn,
Spend, and Save Money



What Is Money in Our Family?

Let's explore how families use money every day

What do we use money for?



Example

Parents get income from their jobs every month

Key Idea

Income helps families buy what they need

What Is Income?

Understanding how families earn money

Income is the money a family earns to buy things they need. When parents go to work, they receive money called income. This money helps the family pay for food, clothes, and school!



04

Salary from Work — Parents go to their jobs every day and earn money called a salary. This is the most common way families get income!

02

Gifts & Allowances — Sometimes children receive money as gifts from grandparents or as pocket money for helping at home. Small family businesses also bring in extra income!

Where Does Our Income Come From?

Different ways families earn money



What Are Expenses?

Understanding where money goes

Expenses are the money spent to buy things we need or want.
Example: Paying for food, school fees, clothes, and fun activities like going to the park!



Types of Expenses:

Needs vs Wants

Understanding what we must have and what we wish for

Needs are things we must have to live well:

- Food to eat every day
- A home to live in
- School supplies for learning
- Clothes to wear

Wants are things we wish for but can live without:

- Toys and games
- Sweets and treats
- Fun outings and trips
- Extra things we enjoy



The Sharmas

A loving family ready to share
their budget journey

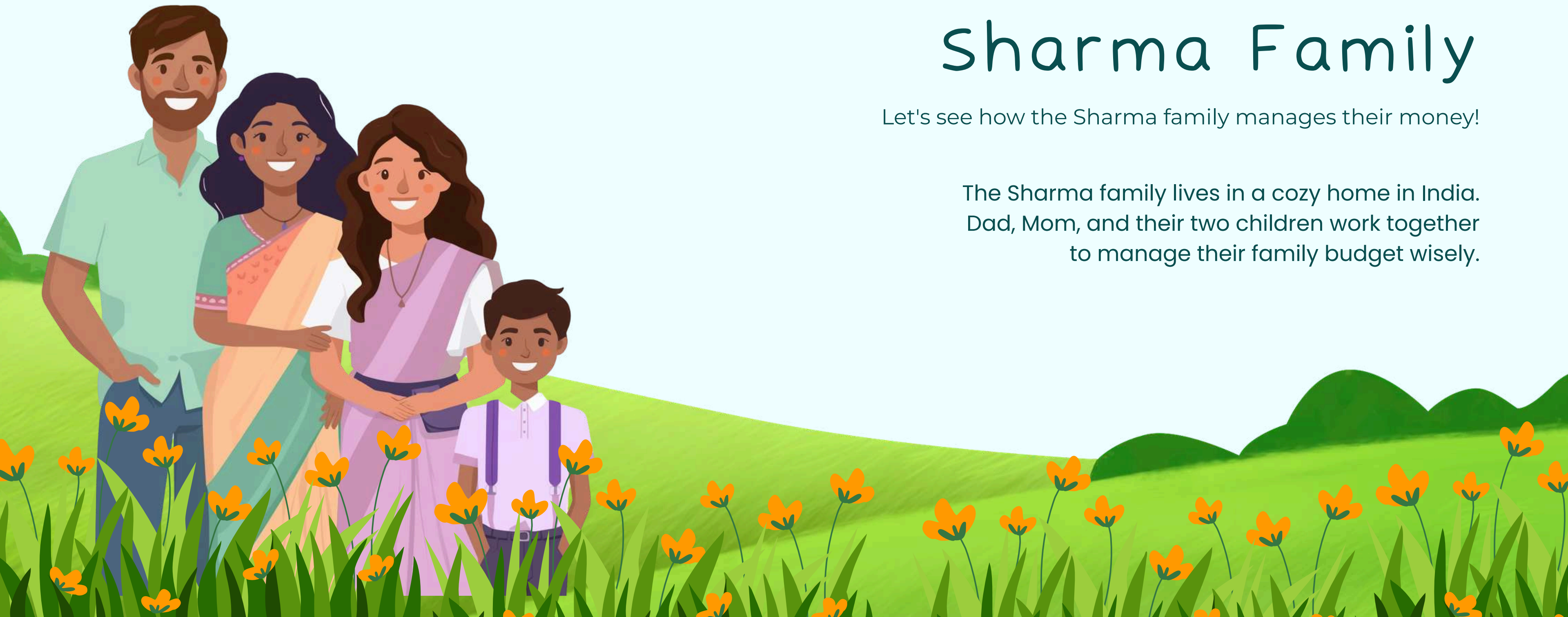
Our Story

Learning about money
together

Meet the Sharma Family

Let's see how the Sharma family manages their money!

The Sharma family lives in a cozy home in India.
Dad, Mom, and their two children work together
to manage their family budget wisely.



08

Dad works at a local shop and earns a salary every month. This is the main income for the Sharma family!



02

Mom runs a small tailoring business from home. She earns money by stitching clothes for neighbors. Older sister Priya gets allowance for helping neighbors with small tasks!

Sharma Family Income

Where does their money come from?



The Sharma family has many expenses every month. They spend money on food like rice, vegetables, and dal for the whole family. School fees and supplies for the children are important too!

02

They also pay for electricity and water bills to keep their home running. Sometimes they save for occasional outings like visiting the park or having ice cream together!

Sharma Family Expenses

Where does their money go?



Step 1

Know what money is coming
in

Step 2

Decide what to spend it on

What Is a Budget?

Planning how to spend your money
wisely

A budget helps families plan how to spend their
income. Think of it like making a plan for your
pocket money — you decide what to buy first and
what to save for later!



Sharma Family Budget Example

See how planning makes a difference!

Before Budget:

The Sharma family spent money without planning. Sometimes they ran out of money before the month ended. No savings for surprises!

After Budget:

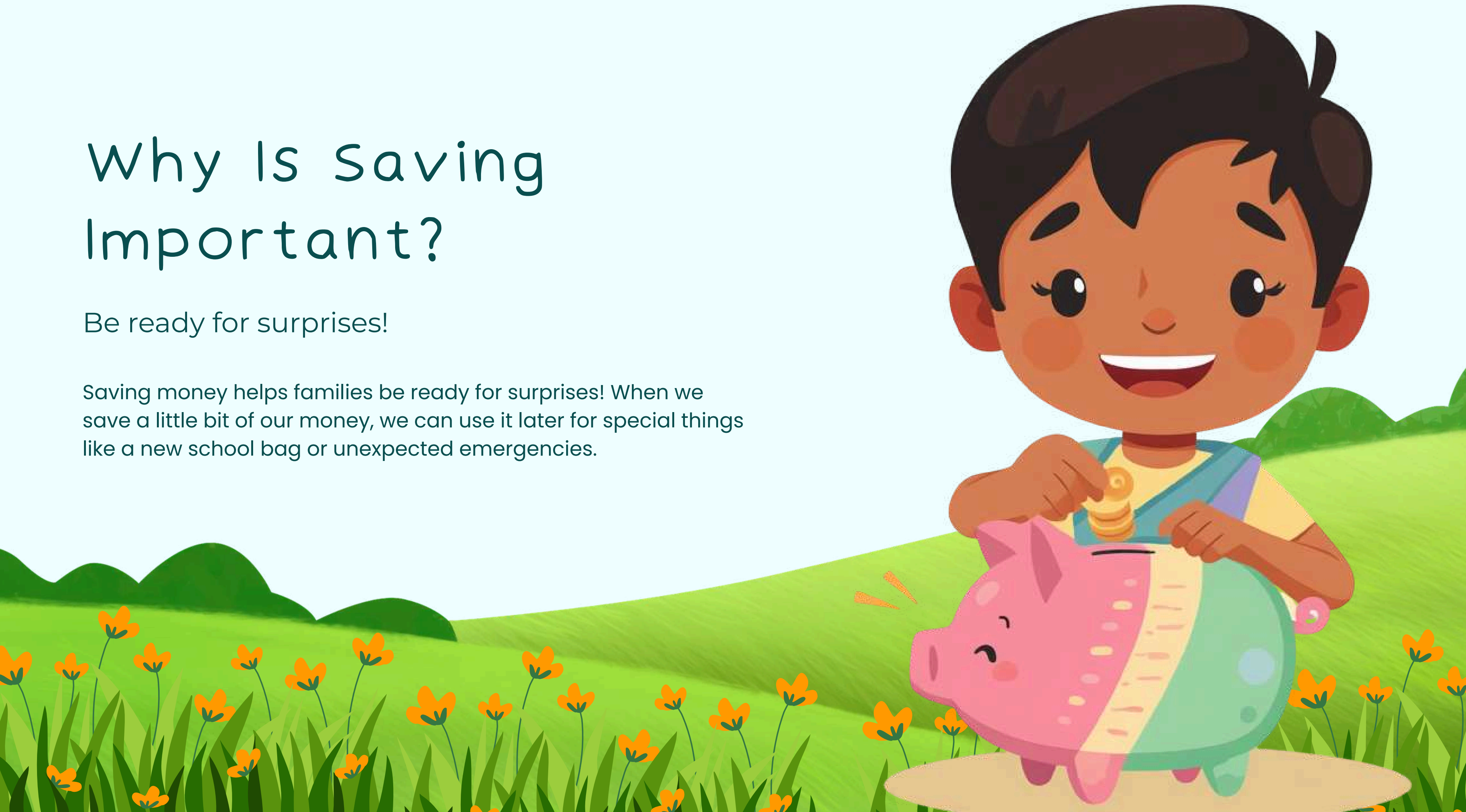
Now they plan their spending carefully. They pay for needs first, then wants. They save a little each month for emergencies!



Why Is Saving Important?

Be ready for surprises!

Saving money helps families be ready for surprises! When we save a little bit of our money, we can use it later for special things like a new school bag or unexpected emergencies.



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Save part of your allowance in a piggy bank. Even small amounts add up over time! Help make a shopping list before going to the store.



02

Turn off lights and fans when leaving a room to save electricity. Share toys with siblings or friends instead of buying new ones often.

How Kids Can Help With the Family Budget

Small actions make a big difference!



01

Income is money earned — this is what families receive from jobs, businesses, or gifts. Parents work hard to earn income for the family.

02

Expenses are money spent — families use their income to pay for needs like food and school, and wants like toys. Budgeting helps plan spending wisely, and saving prepares us for surprises!

Recap: What We Learned Today

Let's remember the important lessons!



Fun Budget Activity

Make Your Own Mini Family Budget!

Try drawing your family's income and expenses on paper. Or play a fun shopping game with your family members!

Share your budget plan with your family tonight. Ask them what they think and learn together!





Thank You!
Any
Questions?

We hope you enjoyed
learning about family budgets!